

MGM RESORT & CAESARS PALACE CYBERATTACKS

An aerial night view of Las Vegas, featuring the MGM Resort and Caesars Palace. The image is overlaid with vibrant, flowing digital bands in red, orange, yellow, green, and blue, suggesting a high-tech or cyber theme. The city lights and the iconic Bellagio fountains are visible in the background.

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COMPANY PROFILES

MGM Resort

- Origins in the 1960's
- 2010 – renamed MGM Resorts Int'l
- Focus on global entertainment brand rather than just casino-driven facility

Caesar's Palace

- Began in 1937 in Reno, NV w/ Harrah's
- 1973-First casino company listed on NYSE
- The "four fathers" of the casino industries
- Harrah's connection to Caesar's

SECURITY INCIDENT - MGM

Incident

- Roughly around September 8th, 2023
- Social Engineering attack through vishing to IT helpdesk for password reset. This account was an admin account
- Employee information sourced from social media and MGM website.
- Ten-minute phone call resulted in full compromise
- Obtained access to Okta sync servers
- Setup an additional tenant in Okta using Inbound Federation
- Obtained access to Azure tenant with Global Admin permissions
- Obtained access to over 100 ESXI servers and deployed Ransomware after demanding ransom and receiving no response. This impacted over 1000 VM's.
- Data exfiltration – but not 100% confirmed if released to the public

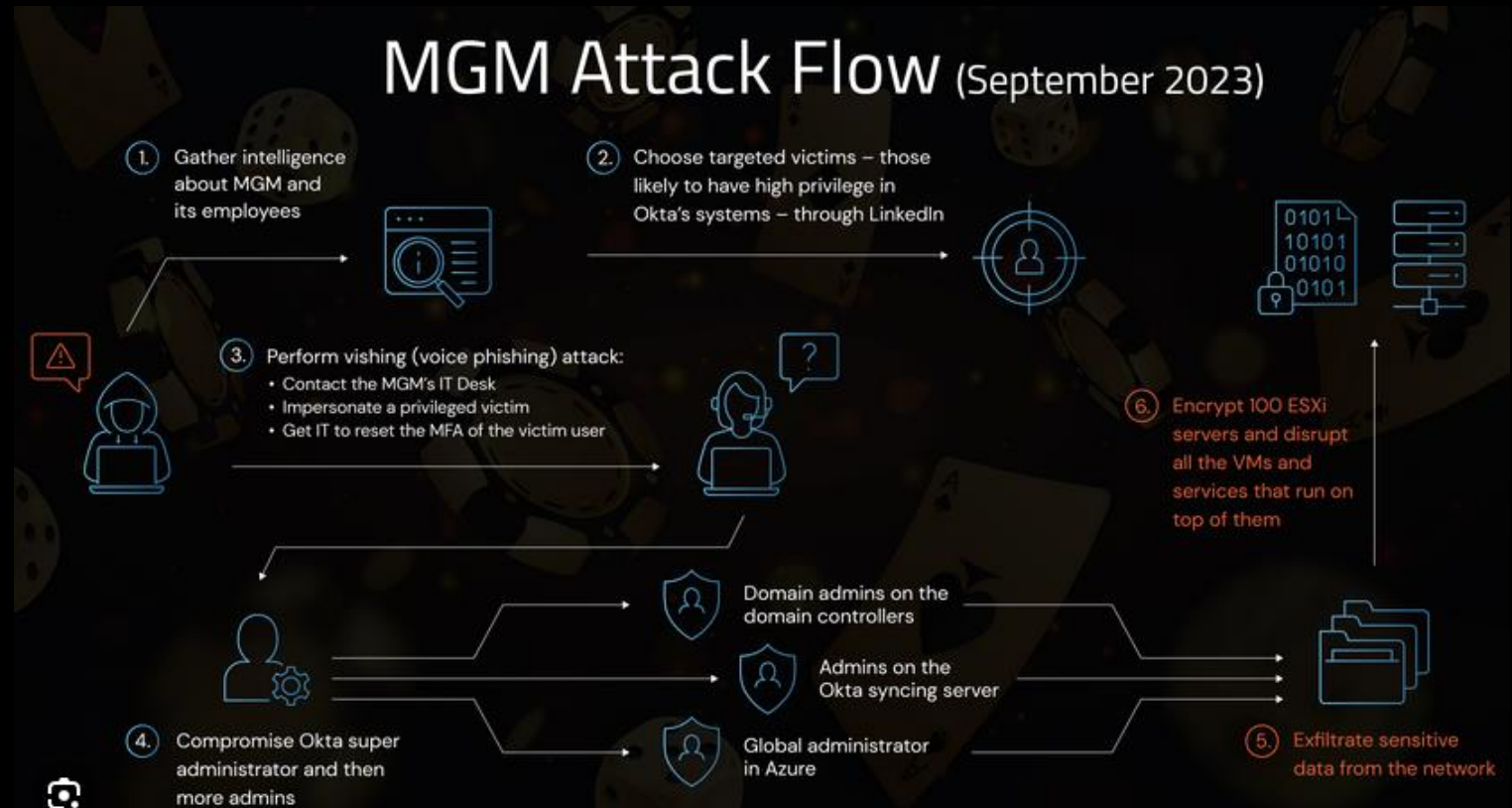
Attempted Remediation

- MGM noticed suspicious traffic and started to shutdown infrastructure to thwart attackers.
- Okta Sync Servers taken offline to attempt to terminate the additional tenant.
- Critical infrastructure taken offline to stop intrusion
- Filed mandatory disclosure to SEC on 9/13/23

SECURITY INCIDENT - MGM

Attackers

- Scattered Spider
- UNC3944
- ALPHV
- BlackCat



MGM ATTACK FALLOUT

Widespread outages at 30 properties:

- ATM's not dispensing cash or accepting tickets
- Slot machine outages
- Electronic payment system outage
- Credit card outage
- Digital keys down
- Online reservations down
- Employee services down
- **100 Million financial impact**
- Class action lawsuits



It's not just our work schedule.
It's anything to do with being an employee with MGM.
No schedule
No vacation (PTO) hours
All info pertaining to my 401
Time card and tokens made
Attendance points
They hacked into our entire
employment info. My social, my
husband and kids socials, all
my bank info.
We have gotten ZERO answers
about anything.
You can repost but keep my
name out of it.

SECURITY BREACH TIMELINE

September 8

Social Engineering
Attack

September 11

MGM acknowledges
Cyber Security Incident

September 12

Guests offer conflicting
information, indicating
massive outages
across all MGM
properties

September 13

VX Underground posts
to Twitter regarding the
attach carried out by
Vishing

September 18

Okta confirms MGM
and Caesars were
attacked



SECURITY INCIDENT - CAESARS

Incident

- Roughly in Mid August 2023
- Social Engineering attack on 3rd party IT support vendor
- Unauthorized access on August 18th, 2023, resulted in data breach of customer loyalty databases.
- Data exfiltration of 65 million members PII
 - Social Security numbers
 - Drivers license numbers
 - Phone numbers
 - Email addresses
 - Credit card numbers
 - Passport numbers
 - License plates
 - Geolocation data
 - Birthdates
 - Purchase information
 - Gaming activity
 - Biometric information
 - Health information

Attempted Remediation

- Paid half of requested ransom
- Scattered Spider Requested \$30 Million
- Caesars Paid \$15 Million
- Caesars requested stolen data to be deleted by Scattered Spider after payment
- Communicated to all members on October 6th, 2023, and offered credit monitoring and identify theft protection services
- Filed mandatory disclosure to SEC on 9/14/23

CAESARS ATTACK FALLOUT

Data Exfiltration

- Full information on exactly what was stolen is still unclear

Class action lawsuits

Not nearly as impactful as MGM breach due to paid ransom

MGM'S RESPONSE – EMAIL TO CUSTOMERS

1. Swift Response and Investigation:

- The company promptly shut down systems to mitigate risks and initiated a thorough investigation with federal law enforcement and cybersecurity experts.

2. Impact Assessment and Communication:

- MGM Resorts clearly communicated that no bank account or payment card information was compromised. They specified the types of personal information accessed and reassured customers that there's no evidence of misuse.

3. Remediation and Support:

- The company has rebuilt and strengthened its IT environment and is offering free identity protection and credit monitoring services to those affected. They have established a dedicated call center and webpage for customer support.

These points emphasize the company's quick response, transparent communication, and comprehensive support and remediation efforts.

CUSTOMER SUPPORT

- The response email was about 2 pages.
- In the original email, there wasn't a detailed section explicitly titled "What Customers Can Do," but the company did provide information on resources and support for customers.
- This included offering free identity protection and credit monitoring services and providing contact details for a dedicated call center and a webpage for assistance.

<https://thenevadaindependent.com/article/mgm-says-customer-information-was-stolen-during-cyberattack-pegs-losses-at-100-million>

CAESAR'S RESPONSE

- The email consists of multiple sections:
 - What happened
 - A detailed summary of events that occurred at the time of breach and the basic response they took to ensure the incident was resolved.
 - At risk Data
 - They claim only basic customer info was leaked and that bank information remained secure. However, anything related to the loyalty program database was compromised.
 - What Caesar is doing
 - From its wording, it seems they are negotiating with the data thieves to stop the leakage of the data onto the dark web in addition to providing affected customers with a subscription to a service that monitors the web for information from the leak.
 - Furthermore, they offer an up to \$1,000,000 insurance reimbursement in case the user suffers from identity theft.



CAESAR'S RESPONSE

- What the Customer can do:
 - Monitor their financial accounts regularly and be wary of suspicious activity.
 - Practice good habits for privacy and security.
- Additional Resources
 - Caesar's email consists of a large section of relevant information pertaining to U.S. Law, additional options to help combat fraud, and certain state specific resources that may be useful.

CAESAR'S EMAIL TO CUSTOMER

- The entire email in pdf form spans a little more than 3 pages
- We are writing to provide you with information about a cybersecurity incident involving your personal information that Caesars Entertainment, Inc. publicly disclosed through a Form 8-K filing on September 14, 2023. We wanted to share some details and offer you some resources that you may find helpful. Please note the section titled "What You Can Do" below.
- <https://www.mass.gov/doc/assigned-data-breach-number-30726-caesars-entertainment-inc/download>

CORRECTIVE ACTIONS TAKEN

MGM RESORT

- Only 1 board member now has security experience and speaks with the Chief Security Officer (CSO) Biannually.
- Notified Law enforcement
- Shutdown certain systems to avoid hackers obtaining more information
 - Slot machines and ATMs not working or dispensing cash
 - Digital key cards not opening hotel rooms, physical keys were given out.
 - Electronic payment systems not accepting credit cards
 - Online reservations not available or confirmed
 - TV service and phone lines down in hotel rooms
 - Sportsbooks closed and not taking bets
 - Long queues at check-in desks, restaurants and bars
 - Cash-only transactions.
 - Pen and paper used for some transaction

CAESARS PALACE

- Not much information due to Caesar's paying off hackers.
- Hired outside IT firms to understand what was breached and to track down hackers.
- Caesars reelected all 9 board members who do not have any security experience.
 - Average age of board member is 66.
- Offered customers identity theft protection services for 2 years.

CONSUMER RECOMMENDATIONS

- Caesar's & MGM Recommendations

- Caesars recommends to enroll in their identity theft protection services, monitor your accounts, and to obtain credit reports from Equifax, Experian, and TransUnion.
- MGM recommends the same as Caesars but have also created a phone number and web page to reach out if you think you have been impacted by the breach.

- Consumer Recommendations

- Organizations need to implement robust identity verification processes and train first level staff handling requests.
- Require more information for password resets than basic information.
- Create self-service portals for password resets.
- Consumers should use complex passwords and enable MFA via authenticator apps vs SMS.
- Consumers should regularly change passwords and not re-use passwords across applications.
- Monitor your bank and any financial obligations for suspicious activity.
- Consider freezing your credit reports.
- Consider signing up for identity/credit monitoring.

The background features a dark, textured field of question marks in various shades of gray and black, creating a sense of depth and repetition. A vibrant, multi-colored band, transitioning from orange to red to yellow and green, curves across the top of the image. The word "QUESTIONS" is centered in the lower half of the frame.

QUESTIONS

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